Business Management

Lecture Notes

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Chapter 1

Lecture 1 – 07/09/2026

To manage a business, we first need to understand what a business is.

A business differs from economics: economics is the social science that studies how scarce resources are allocated, whereas a business is an organization that produces goods or services to satisfy customer needs and generate a profit.

Another perspective views a business as a legal entity. As an organization, it operates within a hierarchy that includes roles such as CEOs, managers, and employees.

1.0.1 Law

Law can be defined as:

- A set of rules designed to resolve conflicts of interest.
- An organizational framework to enforce those rules.
- A system of shared beliefs and social norms.

Generally, starting a business in a jurisdiction with strong legal protections is advantageous, as the law safeguards capital and intellectual property from theft or infringement.

For example, Artificial Intelligence (AI) regulation varies significantly by country. What is legal in one jurisdiction may be restricted or illegal in another, requiring founders to assess legal environments prior to launch.

1.0.2 Stakeholders

While shareholders hold equity shares and own part of the company, stakeholders include any individual or entity affected by the company's decisions and operations.

There are two primary types of stakeholders:

- **Internal Stakeholders:** Individuals within the organization, such as employees, managers, and owners.
- **External Stakeholders:** External entities affected by operations, including customers, suppliers, competitors, and regulatory bodies.

Each stakeholder group utilizes distinct legal and contractual mechanisms to protect their interests.

1.0.3 Financing the Company

- **Debt vs. Equity:** Debt refers to borrowed capital (e.g., from banks) that must be repaid with interest. Equity refers to capital raised from investors in exchange for ownership shares.
- **Equity Investors:** Investors provide capital in exchange for ownership shares, seeking long-term growth and accepting business risk. Key types include:
  - **Business Angels:** High-net-worth individuals who invest their personal capital in early-stage startups.
  - **Venture Capitalists (VCs):** Professional investment firms that deploy capital from institutional funds.
- **Debt Financing Instruments:** Different debt instruments carry distinct risk profiles and terms:
  - **Bonds:** Long-term debt securities issued to investors that pay periodic interest.
  - **Loans:** Direct debt agreements with fixed repayment schedules and interest rates.
  - **Lines of Credit:** Flexible credit arrangements allowing companies to draw funds up to a set limit as needed.

Chapter 2

Business Model

A business model is a conceptual framework describing how an organization creates, delivers, and captures value.

- **Revenue Assumptions:** What a company charges for (e.g., direct sales, subscription fees, data monetization, advertising space).
- **Cost Assumptions:** What a company incurs expenses for (e.g., raw materials, labor, marketing, R&D).

Business Model Definition

A business model defines who your target customer is, what value you create or add for them, and how you deliver that value at a sustainable cost.

The foundational step in business modeling is identifying customer needs. Sustainable profitability—rather than revenue alone—is essential, as profits generate the capital required for reinvestment and growth.

Example (Nespresso): Nespresso tested several business models that initially failed. They achieved success by repositioning coffee as a luxury experience—opening boutiques in premium retail locations worldwide and selling single-serve pods at a premium price point.

A robust business model also serves as a diagnostic tool to identify operational and legal risks.

> *"A business model describes how the business runs, whereas a competitive strategy defines how the business performs better than its competitors."*

2.0.1 Emerging Technologies

An emerging technology is a novel, rapidly growing technology characterized by fast development cycles and high market uncertainty.

Multiple technological solutions can address the same underlying customer need. For example, to commute to school, a person might buy a bicycle, rent one, walk, or hire a ride-sharing service. The optimal choice depends on constraints such as available budget and time.

2.0.2 Examples of Business Models

- **Crowdsourcing:** Outsourcing tasks or content creation to a distributed group of individuals, typically via online platforms (e.g., Wikipedia, YouTube).
- **Freemium:** Offering a basic version of a product or service for free while charging for premium features or higher usage tiers (e.g., Dropbox).
- **Subscription:** Charging customers a recurring fee (monthly or annually) for continuous access to a product or service (e.g., Netflix).
- **Negative Operating Cycle:** Receiving payment from customers before paying suppliers for goods, optimizing working capital (e.g., Amazon).
- **Disintermediation:** Removing intermediaries from the supply chain to sell directly to end consumers, reducing transaction costs (e.g., Dell).
- **Aggregator:** Consolidating information or service listings from multiple providers into a single platform for customer convenience (e.g., Airbnb).

Chapter 3

Lecture 2 – 09/09/2026 Business Model Canvas

The **Business Model Canvas (BMC)** is a visual tool used to describe, analyze, and develop a company's business model. It represents the main elements of a business and shows how they are connected.

The Business Model Canvas describes four main areas of a business:

- **Customers**: who the company serves;
- **Value**: what value the company provides to customers;
- **Infrastructure**: how the company creates and delivers value;
- **Finances**: how the company generates revenues and manages costs.

The Business Model Canvas helps entrepreneurs and managers visualize the business model, identify relationships between its different elements, and understand possible trade-offs.

3.0.1 Business Model vs. Business Plan

A **business model** describes how a company creates, delivers, and captures value. In particular, it explains how the company operates and how it generates profit.

A **business plan**, instead, is a formal document that describes the company's objectives, strategies, market analysis, operations, and expected financial performance.

Therefore:

- **Business model**: explains *how the business works*;
- **Business plan**: explains *how the business will be developed and managed.*

The Business Model Canvas is a tool that helps entrepreneurs and managers visualize and analyze the business model.

3.1 Business Model Examples

A company can generate revenues through different business models.

- **product:**The company sells a product or service directly to customers, generating

revenue through direct sales.

- **publicity / advertising:** The company generates revenue by selling advertising space or promoting products and services to a target audience.
- **fee / usage fee:** The company provides a service or platform and charges users a fee for access or for using the service. The customer pays according to the amount or frequency of usage.
- **subscription:** The company charges customers a recurring fee, usually monthly or annually, in exchange for continuous access to a product or service.
- **freemium:** The company offers a basic version of the product or service for free, while charging customers for additional or premium features. The objective is to attract a large number of users with the free version and convert some of them into paying customers.
- **accessories:** The company sells additional products or services that complement the main offering. Revenues are generated through **upselling** or bfcross-selling of accessories.

3.2 What is a Business Model?

The Business Model Canvas is composed of **nine building blocks**:

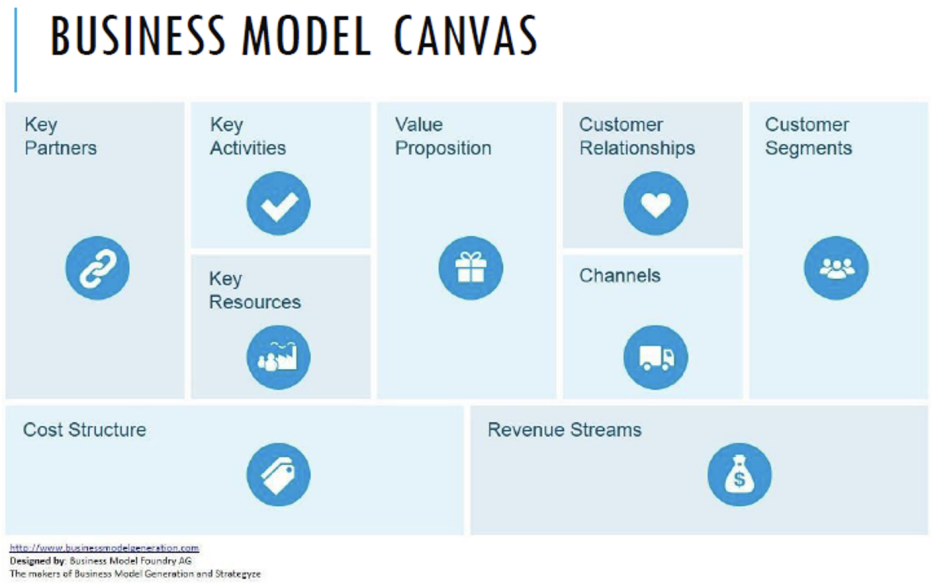


Figure 3.1: Business Model Canvas

These nine elements explain how a company creates, delivers, and captures value.

3.3 1. Value Proposition

The **value proposition** explains the value that a company offers to its customers and why customers should choose its product or service instead of competitors' alternatives.

The value proposition can be based on different factors, such as: price, quality, convenience, innovation, performance, customization, design, brand, accessibility, and risk

reduction.

A company can have **several value propositions** because different customer segments may have different needs and expectations.

The company should identify the value proposition that is the most profitable and sustainable for each target customer segment.

3.3.1 Types of Value Propositions

- Novelty: The product or service is new and innovative, offering a unique solution to a problem or need.
- Performance: The product or service offers superior performance or functionality compared with competitors.
- Customization: The product or service can be tailored to meet the specific needs or preferences of individual customers.
- Design: The product or service has an appealing aesthetic or user experience that differentiates it from competitors.
- Brand / Status: The product or service is associated with a prestigious brand or represents a status symbol that increases its perceived value.
- Price: The product or service is offered at a competitive or affordable price that appeals to cost-conscious customers.
- Convenience: The product or service is easy to access, use, or integrate into customers' lives, saving time or effort.
- Risk Reduction: The product or service reduces uncertainty or potential negative outcomes for customers,
- Accessibility: The product or service is made available to a wider range of customers, including customers with limited resources or special needs.
- Cost Reduction: The product or service helps customers save money or reduce expenses in the long term.

3.4 2. Customer Segments (For Whom?)

The **customer segment** is the group of people or organizations that a company aims to serve and for whom it creates value.

The market is divided into different groups of customers. These groups can have different needs, preferences, behaviors, and characteristics.

A segment can be identified according to:

- **Demographics**: age, gender, income, education, occupation, etc.;
- **Psychographics**: lifestyle, personality, values, interests, etc.;
- **Behavior**: purchasing habits, frequency of use, brand loyalty, etc.;
- **Needs**: specific problems or requirements that customers want to solve.

A **market segment** is a group of people who respond in a similar way to a marketing strategy.

For example, engineering students and architecture students may represent different customer segments because they can have different needs and preferences.

The customer segment can also be divided into **sub-segments** based on specific characteristics or behaviors.

In a market, there are different customer groups, and the company chooses a **target segment** on which to focus.

The **target segment** is the group of customers that the company specifically aims to serve and create value for.

3.4.1 Example: Ferrari

Ferrari focuses strongly on quality, performance, luxury, exclusivity, and brand/status.

Its target customers are generally high-income individuals who value: high performance, luxury, exclusivity, prestige, and status.

The target segment can also be divided into smaller sub-segments according to customers' specific preferences and motivations.

For Ferrari, customers may be particularly interested in the **status and prestige** associated with owning the brand.

3.5 3. Channels(How Do We Get It to Them?)

Channels describe how a company communicates with customers and how it delivers its value proposition to them.

Channels can be:

- direct or indirect;
- online or offline;
- owned by the company or shared with other companies.

Examples of channels include: physical stores, websites, mobile applications, social media, email marketing, distributors, partners, marketplaces, events, traditional advertising, and print media.

The company has to choose the channel that is the most **effective and efficient** for each customer segment.

3.5.1 Direct Channels

A **direct channel** is a channel through which the company sells or communicates directly with customers.

Examples include:

- a physical store owned by the company;
- the company's website;
- the company's mobile application;
- direct sales.

3.5.2 Indirect Channels

An **indirect channel** involves an intermediary between the company and the final customer.

Examples include: distributors, retailers, agents, business partners, and marketplaces.

3.5.3 Owned and Partner Channels

A company can use channels that it owns or channels shared with other companies.

For example:

- an owned website is an **owned channel**; legal forms
  country and laws
  company size
  cost of complexity

3.5.4 Retail Store Example

A **retail store** is a business that sells products directly to customers.

The retailer can buy products from another company and resell them to customers, generating revenue through a **markup** or commission.

For example:

$$\text{Purchase Price} + \text{Markup} = \text{Selling Price}$$

The retail store can be: physical, online, or both.

A retailer can also provide additional services such as: customer support, returns, exchanges, warranties, marketing and promotional activities, and loyalty programs.

The channels and customer relationships should be adapted to the specific needs and characteristics of the target segment.

3.6 4. Customer Relationships

Customer relationships describe the type of relationship that a company establishes and maintains with its customers.

Customer relationships can be:

- personal or automated;
- transactional or long-term.

Examples include: personal assistance, dedicated personal assistance, self-service, automated services, loyalty programs, feedback systems, communities, and co-creation.

The company has to design the customer relationship that is most suitable for each customer segment.

For example, a cleaning-room worker and a university teacher may have very different needs and preferences. Therefore, the company may need to use different channels and customer relationships for different customer segments.

3.7 5. Revenue Streams

Revenue streams are the sources of income that a company generates from its business activities.

They explain **how the company makes money**.

Revenue streams can be based on different pricing models, such as: one-time sales, recurring subscriptions, licensing fees, advertising revenue, usage fees, and commissions.

Different customer segments or different value propositions can generate different revenue streams.

For example:

$$\text{Revenue} = \text{Price} \times \text{Quantity Sold}$$

However, a company may also generate recurring revenues through subscriptions or usage-based pricing.

3.8 6. Key Resources

Key resources are the assets that a company needs to create, deliver, and capture value.

Key resources can be classified into four main categories:

- **Physical resources**;
- **Intellectual resources**;
- **Human resources**;
- **Financial resources**.

3.8.1 Example: Electric Car Company

To produce electric cars, a company needs different types of key resources.

- **Physical**: factories, machinery, batteries, raw materials;
- **Intellectual**: patents, designs, software, technology;
- **Human**: engineers, designers, technicians;
- **Financial**: capital, loans, and investments.

Key resources can be owned by the company or accessed through partnerships and outsourcing.

3.9 7. Key Activities

Key activities are the most important actions that a company must perform to create and deliver its value proposition, reach customers, and generate revenues.

Examples of key activities include:

- production;
- research and development;

- marketing;
- sales;
- distribution;
- problem solving;
- platform management;
- customer support.

The key activities depend on the company's business model.

For example, for a manufacturing company, production may be one of the most important activities. For a technology company, software development and research may be more important.

3.10 8. Key Partnerships

Key partnerships are strategic alliances that a company forms with other organizations in order to improve its capabilities, reduce risks, access resources, or reach new markets.

Key partners can include: suppliers, distributors, technology providers, research institutions, joint-venture partners, and other companies.

These partnerships can help the company ensure a reliable supply chain, efficient charging infrastructure, and advanced vehicle features.

A company can start without key partnerships, but partnerships can become important when the company needs external resources, expertise, technology, distribution, or risk sharing.

3.10.1 Four Types of Partnerships

There are four main types of partnerships:

1. Strategic Alliances Between Non-Competitors

Two companies that operate in different industries or markets collaborate to achieve mutual benefits.

They are not direct competitors but can complement each other's activities.

2. Coopetition: Strategic Partnerships Between Competitors

Two companies that operate in the same industry or market collaborate to achieve common goals.

Examples include:

- joint research and development;
- shared marketing campaigns;
- co-branding;
- technology development.

This type of relationship can be described as **coopetition**, because companies cooperate while still competing in other areas.

3. Joint Ventures

Two or more companies create or participate in a separate business entity to pursue a specific project or business opportunity.

The partners share resources, risks, responsibilities, and potentially profits.

4. Buyer-Supplier Relationships / Bottleneck Partnerships

A company establishes a partnership with a supplier or another organization to secure access to an essential resource or overcome a specific constraint.

3.11 9. Cost Structure

The **cost structure** describes all the costs and expenses that a company incurs in order to operate its business model.

It includes the costs associated with: key resources, key activities, key partnerships, production, distribution, marketing, customer relationships, and administration. The cost structure can be divided into different types.

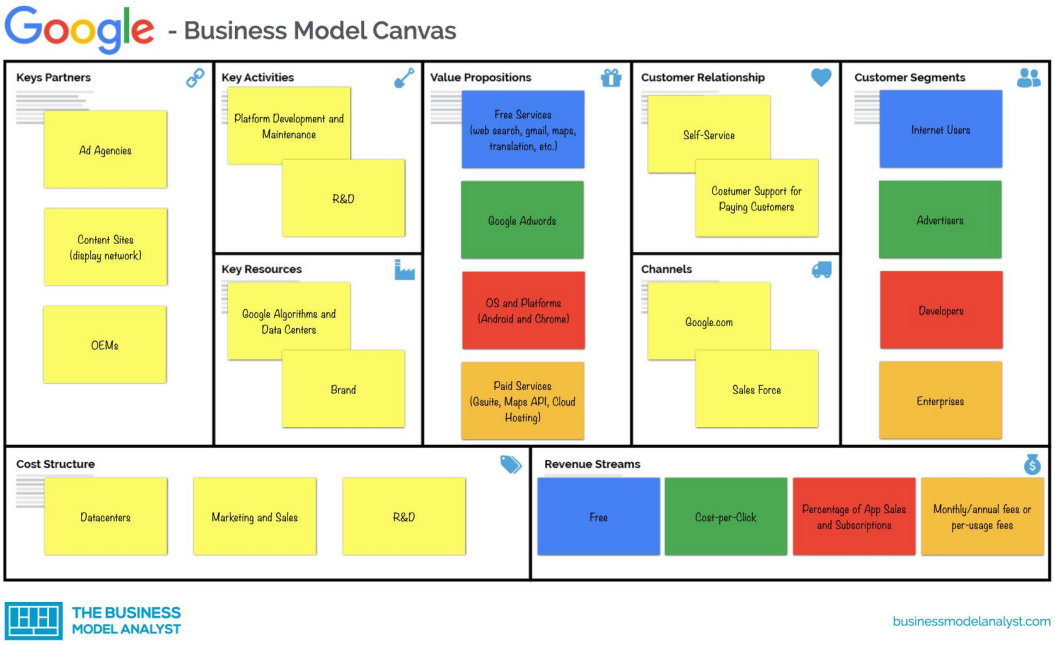


Figure 3.2: Cost Structure

Chapter 4

understand the business

Cue column	Note-taking area
goal of a business	the goal of a business is to create value for its customers and generate profit. profits is different with revenue. we can have revenue without profit.(paypal)
resources of a business	A business have 4 type of resources • money:allows the company to acquire other **resources.** • people: they are the ones who create value for the customers. • technology: allows the company to create value for the customers. • materials: they are the raw materials that are used to create value for the customers. These resources work together. No single resource is always "the most important": its importance depends on the business and the situation
stakeholders of a business	**stakeholders** are divided in 4 type and depend on their goals. • shareholders: they are the owners of the company and they are interested about the profits. • executives: they are the CEO and they are interested about the growth of the company. • middle managers: they are the managers and they are interested about the performance of the company. • employees: they are the workers and they are interested about the stability of the company.

understand the business

Cue column | **Note-taking area**

flow of money

different types of companies

4.1 flow of money

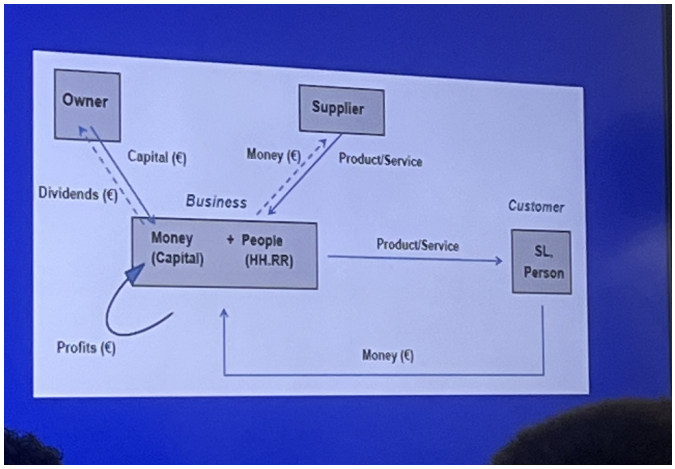


Figure 4.1: Cash may enter through customer payments, owner contributions or loans. It may leave to pay suppliers, employees, taxes, interest, lenders or investments. An owner contribution and a loan bring in cash, but are not sales revenue. Paying for equipment uses cash, but the equipment is normally recorded as an asset when purchased. Cash movements alone do not show whether the business made a profit.

Organisations have different aims:

- **For-profit companies** aim to create returns for their owners. They can reinvest profits or distribute them to owners.
- **Non-profit organisations** use any surplus to support their mission.
- **Cooperatives** are owned by their members and aim to benefit them.
- **Social enterprises** combine business activity with a social or environmental goal.
- **Government agencies**, such as public schools or hospitals, provide public services. Profit is not their main goal.

Summary

companies have different goals and different ways to use the profit.

understand a business

Cue column	Note-taking area
risk and profitability over the time legal forms country and laws	## 4.2 timeline it is necessary to manage profitability and risk over the time. during the first years of a company, the risk is high and the profitability is low. after some years, the stability of company growht and for this reason the risk became low(TESLA). the profitability after same years can be ridursi because the market is saturated and the competition is high. ## 4.3 Legal forms Working independently is not itself one universal legal form. A *freelancer* works independently for clients; the applicable registration and legal structure depend on the country. A *sole proprietor/sole trader* runs a business alone, generally without a separate company entity and with personal liability for business obligations. A *partnership* has two or more owners; liability depends on its particular form and local law. A *limited-liability company or corporation* is a separate entity whose owners generally have limited liability, subject to legal exceptions. It can have one or many owners: limited liability does **not** mean "owned by a small group". ## 4.4 Country and rules Company names and forms vary across legal systems. For example, *Inc.* is used in the US, *AG* in Germany and *S.p.A.* in Italy. These are examples of legal designations, not interchangeable structures. Registration, taxes, employment rules and reporting duties also depend on where the business operates.

Summary

Different legal forms determine how companies are owned and managed. Companies must follow the laws of the countries in which they operate, and larger organizations face higher costs of complexity because they manage more employees, products, and markets.

Chapter 5

understand the business - Finance

Cue column	**Note-taking area**
cost of complexity	Finance helps a company answer questions such as: How much money do we have? How much do we need? How can we obtain it?

5.1 Three useful financial statements

financial statements

Statement	Main question	Time frame
Balance sheet	What assets, liabilities and equity does the business have?	At a date
Income statement	What revenue and expenses produced profit or loss?	Over a period
Cash flow statement	How did cash change through operating, investing and financing activities?	Over a period

financial tools

These are a useful starting point, not necessarily the complete set of statements required by a reporting framework.

5.2 money values

- **Revenue**: income earned from selling goods or services.
- **Profit**: revenue minus expenses.
- **Cash**: money available now, for example in a bank account.
- **Debt**: money owed to creditors.
- **Equity**: the owners' interest in the company after liabilities are deducted from assets.

understand the business - Finance(2) -16/09/2026

Cue column	Note-taking area
financial equation	**the financial equation** $\boxed{\text{Assets} = \text{Liabilities} + \text{Equity.}}$ this equazion shows that the assets of a company are financed by the liabilities and the equity. • the assets are the resources that a company owns • the liabilities are the obligations that a company owes to others. • the equity is the residual interest in the assets of a company after deducting liabilities.
difference between bookkeeping and accounting	## bookkeeping the bookkeeping is the process of recording financial transactions daily.Usually tools of this process are: daybook and general ledger. the daybook is a chronological record of all financial transactions. the general ledger is a record of all accounts and their balances. the chart of accounts is a list of all accounts used in the accounting system. ## accaunting the accounting is the process of analyzing and interpreting transactions. It is used to prepare financial statements, such as the balance sheet, income statement, and cash flow statement. **five account families** • assets: resources owned by the company that have economic value and can be used to generate revenue(cash, machine...). • liabilities: obligations that a company owes to others, such as loans, accounts payable, and taxes payable. • equity: the residual interest in the assets of a company after deducting liabilities. • revenue: income earned from selling goods or services. • expenses: costs incurred in the process of generating revenue, such as salaries, rent, and utilities. expence in the left and revenue in the right.

<table>
<tr><th colspan="2">STATO PATRIMONIALE</th></tr>
<tr><td>ATTIVITÀ</td><td>PASSIVITÀ</td></tr>
<tr><td>Immobilizzazioni</td><td>Patrimonio netto</td></tr>
<tr><td rowspan="2">Attività correnti
(liquidità, rimanenze, crediti a breve termine
e altre attività ricorrenti)</td><td>Debiti a medio-lungo termine</td></tr>
<tr><td>Passività correnti
(debiti a breve termine, debiti finanziari e
altre passività correnti)</td></tr>
<tr><td>TOTALE ATTIVITÀ</td><td>TOTALE PASSIVITÀ</td></tr>
</table>

Figure 5.1: Account Families

Chapter 6

21/09/2026

balance Sheet is a financial statement that provides a snapshot of a company's financial position at a specific point in time. it records the current transactions (max one year) and is divided in two main sections: assets and liabilities/equity. the asset are written in order of liquidity, which means that the most liquid assets are listed first, followed by less liquid assets. This allows investors to quickly assess the liquidity of a company and its ability to meet short-term obligations. The order of liquidity is typically as follows: cash and cash equivalents, marketable securities, accounts receivable, inventory, and other current assets. By presenting assets in this order, investors can better understand the company's financial position and make informed investment decisions. the liabilities are also listed in order of due, which means that the liabilities that are due soonest are listed first, followed by those that are due later. This allows investors to quickly assess the company's ability to meet its short-term obligations and manage its long-term debt. The order of maturity is typically as follows: accounts payable, short-term debt, long-term debt, and other liabilities. By presenting liabilities in this order, investors can better understand the company's financial position and make informed investment decisions.

6.1 depreciation

the depreciation is the process of allocating the cost of a long-term asset over its useful life. It is a non-cash expense that reflects the decrease in value of an asset over time due to wear and tear, obsolescence, or other factors. Depreciation is recorded on the income statement as an expense, which reduces the company's net income. It is also recorded on the balance sheet as a reduction in the value of the asset. The purpose of depreciation is to match the cost of the asset with the revenue it generates over its useful life, providing a more accurate picture of the company's financial performance. the depreciation is considered an expense because it represents the allocation of the cost of a long-term asset over its useful life. When a company purchases a long-term asset, such as equipment or a building, it records the cost of the asset on its balance sheet as an asset. However, over time, the value of the asset decreases due to wear and tear, obsolescence, or other factors. To reflect this decrease in value, the company records depreciation as an expense on its income statement. This expense reduces the company's net income and reflects the true cost of using the asset over time.
every expense is a decrease of cash,
exercise: a company buys a machine for 3,000. the depreciation is linear the finale price

of the machine is 500 the time of use is 5 years the annual depreciation is (3000-500)/5=

6.2 the two clock of accounting

accounting has two clocks: the cash clock and the economic clock. The cash clock records transactions when cash is received or paid, while the economic clock records transactions when they are earned or incurred, regardless of when cash is exchanged. This means that revenue is recognized when it is earned, and expenses are recognized when they are incurred, even if payment has not yet been made. The accrual clock provides a more accurate picture of a company's financial performance and position, as it reflects the economic reality of transactions rather than just the timing of cash flows.

6.3 Purpose and main areas

Financial analysis examines a company's position and performance using financial statements and other information.
It helps managers, investors and creditors assess liquidity, solvency, profitability and efficiency. Analysts use ratios, changes over time and comparisons with similar businesses. A single ratio provides a clue, not a complete judgment.

- liquidity: ability to meet short-term obligations;
- solvency: ability to sustain operations and meet financial commitments over the longer term;
- profitability: relates income to sales or the resources used;
- efficiency: describes how well resources generate sales; asset turnover is one measure of efficiency

6.4 Liquidity: working capital and ratios

Cash is immediately available for payment, but other current assets may not be converted into cash quickly or at their recorded value. A profitable company can therefore experience a cash shortage.

Current assets include cash and items expected to be sold, consumed or realised in the normal operating cycle, or generally within twelve months. Current liabilities are obligations expected to be settled in that cycle or due in the short term. The twelve-month rule is a useful simplification, not the only classification criterion. Equity is not a current liability and is not subtracted when calculating working capital.

Net working capital is an amount expressed in currency:

$$\boxed{\text{Working capital} = \text{Current assets} - \text{Current liabilities.}}$$

A positive value means current assets exceed current liabilities at the balance-sheet date. It does not ensure that cash will be available when each bill becomes due: receivables may be collected late and inventory may sell slowly.

The current ratio compares the same categories as working capital but expresses their

relationship as a quotient:

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}.$$

The quick ratio focuses on assets that can more readily be used to pay short-term obligations:

$$\text{Quick ratio} = \frac{\text{Cash} + \text{Short-term investments} + \text{Receivables}}{\text{Current liabilities}}.$$

It excludes inventory and other items, such as prepaid expenses, that cannot readily pay bills. An alternative simplified numerator is current assets minus inventory and prepayments, when those categories explain the difference. A ratio above 1 says that the assets included in its numerator exceed current liabilities on that date; it does not guarantee timely payment. The quality of receivables, payment dates, cash flows and industry norms also matter. Neither ratio is defined in the usual way when current liabilities are zero.

6.5 Solvency and indebtedness

Solvency depends on obligations, the value and composition of assets, and the capacity to generate future cash. Merely having total assets above long-term debt is not a sufficient assessment. Borrowing can finance growth but creates payment commitments that increase risk if income or cash flows fall.

The term "financial leverage ratio" is ambiguous: it can refer to different measures. If the numerator includes *all liabilities*, the first ratio should be labelled liabilities-to-equity:

$$\text{Liabilities-to-equity} = \frac{\text{Total liabilities}}{\text{Total equity}}.$$

A value of 0.8 means that the company has 80 cents of liabilities for each euro of book equity. Some analysts use only interest-bearing borrowing in the numerator and call the result debt-to-equity; this is a different definition. The equity multiplier, assets divided by equity, is another leverage measure. A debt-to-equity figure is difficult to interpret in the usual way when equity is zero or negative.

If "debt" is defined as all liabilities, the corresponding ratio to assets is

$$\text{Liabilities-to-assets} = \frac{\text{Total liabilities}}{\text{Total assets}}.$$

This indicates the share of book assets financed through obligations to others. If a course uses *debt ratio* for interest-bearing borrowing divided by assets, that narrower definition should be stated and used consistently. A higher ratio can indicate greater financial risk, but its meaning depends on the business model, cash-flow stability and comparison group.

6.6 Operating efficiency: asset turnover

Total asset turnover measures sales generated per unit of assets during a period:

$$\text{Total asset turnover} = \frac{\text{Net sales}}{\text{Average total assets}},$$

$$\text{Average total assets} = \frac{\text{Opening assets} + \text{Closing assets}}{2}.$$

A high turnover can reflect effective use of assets, but it does not show the profit margin earned on those sales. Because net sales cover a period and the balance sheet measures assets at points in time, the average of opening and closing assets is commonly used.

6.7 Earnings: EBIT and EBT

EBIT means *earnings before interest and taxes*. It is an amount, not a ratio, and is commonly used to examine performance before financing cost and income tax. EBT means *earnings before taxes*: it reflects interest expense and other relevant items before income tax. In a simplified income statement, EBIT minus net interest expense gives EBT, and EBT minus income tax gives net income. Actual statements can contain other non-operating items, so this sequence needs to be checked against the statement being analysed.

6.8 Returns: ROI, ROA and ROE

For a particular project, one simple definition of return on investment is

$$\text{ROI} = \frac{\text{Net gain from the investment}}{\text{Cost of the investment}} \times 100\%.$$

Net gain means proceeds or benefits minus the investment cost and any other costs included in the chosen definition. If proceeds are 120 and the investment costs 100, net gain is 20 and ROI is 20%. Managerial accounting may instead use "ROI" for a segment's operating income divided by its average invested assets. Its numerator, denominator and period must therefore be specified. A simple ROI also ignores when cash flows occur.

Using net income as the measure of profit, return on assets and return on equity can be written as

$$\text{ROA} = \frac{\text{Net income}}{\text{Average total assets}} \times 100\%,$$
$$\text{ROE} = \frac{\text{Net income}}{\text{Average equity}} \times 100\%.$$

The averages ordinarily use opening and closing balances. ROA measures net income relative to the assets employed; ROE measures net income relative to owners' equity. Some courses use an operating-profit version of ROA: the two versions should not be mixed in a comparison. Debt can amplify ROE and also amplify losses, so a high ROE alone does not establish that a business is stronger. ROE becomes hard to interpret when equity is very small or negative.

6.9 Interpreting comparisons

EBIT and EBT are absolute earnings amounts, while ROI, ROA and ROE are ratios. Ratios can help compare businesses of different sizes, and EBIT can also be compared across businesses when its definition and the underlying accounting are aligned. All these measures can be examined over time. Useful comparisons require compatible definitions, the same period and, generally, businesses in similar industries. No metric is automatically more useful than the others in every situation.

Chapter 7

marketing 30/09/2026

in not possible create a need but exist a hierarchy of needs. the marketing is the process of creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society at large. the marketing is a process that involves understanding the needs and wants of customers, creating products or services that meet those needs, and promoting them to potential customers. the marketing is a process that involves research, analysis, planning, implementation and evaluation. the marketing is a process that involves understanding the market, the competition, the customer and the environment.
when we talk about marketing we can split the subject in strategic marketing and tactical marketing. the strategic marketing is the process of identifying and selecting target markets, developing a value proposition (portfolio), and creating a marketing strategy. the tactical marketing is the process of implementing the marketing strategy through the use of marketing mix elements.
in tactical marketing we talk about the 4P:

- product: the good or service that the company offers to the customer;
- price: the amount of money that the customer pays for the product;
- place: the distribution channels that the company uses to deliver the product to the customer;
- promotion: the communication that the company uses to inform and persuade the customer to buy the product.

the difference between need, wants and demand is that the need is a basic human requirement, while wants are the specific products or services that people desire to satisfy their needs.At the end demand is the desire for a specific product or service that is backed by the ability to pay for it. For example, a person may have a need for food, but they may want a specific type of food, such as pizza. However, if they do not have the money to buy pizza, then their demand for pizza is not effective. In other words, demand is a combination of wants and the ability to pay for them.

7.1 tangible product and pure service

the tangible product is a physical good that can be touched, seen and felt. the pure service is is something like a haircut, a massage or a legal advice. the pure service is

not a physical good. the tangible product can be standardized, while the pure service is customized. the tangible product can be produced and consumed at different times, while the pure service is produced and consumed at the same time. have a pizza is a mix of tangible product and pure service. the pizza is a tangible product, while the service of delivering the pizza is a pure service. the pizza can be standardized, while the service of delivering the pizza can be customized. the pizza can be produced and consumed at different times, while the service of delivering the pizza is produced and consumed at the same time.

7.2 satisfaction and loyalty

the satisfaction is the feeling of pleasure or disappointment that a customer experiences after comparing the product's perceived performance to their expectations. it depend on the aspectation of the customer and the performance of the product. If the performance is higher than the expectation, the customer is satisfied. If the performance is lower than the expectation, the customer is dissatisfied. If the performance is equal to the expectation, the customer is neutral. the loyalty is the customer's willingness to continue buying from the same company or brand. It is the result of a positive customer experience and satisfaction with the product or service. Loyal customers are more likely to recommend the company or brand to others, and they are less likely to switch to competitors. Loyalty can be measured through repeat purchases, customer retention rates, and customer feedback.

7.3 market

potencial market is the total number of customers who could potentially buy a product or service. it is the total demand for a product or service in a given market. the potential market is the total number of customers who could potentially buy a product or service. it is the total demand for a product or service in a given market. Kodack example: when kodack was the leader in the market of photography, they had a potential market of all the people who wanted to take pictures. but when digital photography was invented, the potential market for kodack decreased because people started to use digital cameras instead of film cameras. kodack did not adapt to the new technology and lost its market share.

7.3.1 strategy

the strategy is the plan of action that a company uses to achieve its goals and objectives. it is the process of identifying and selecting target markets, developing a value proposition, and creating a marketing strategy. the strategy is the plan of action that a company uses to achieve its goals and objectives. it is the process of identifying and selecting target markets, developing a value proposition, and creating a marketing strategy.

7.3.2 business portfolio

It is the set of the product of a company offers to the market. the second step of the strategic marketing is to develop a value proposition. the value proposition is the set of benefits that a company offers to its customers. it is the reason why customers should buy

from the company instead of its competitors. the value proposition is the set of benefits that a company offers to its customers. it is the reason why customers should buy from the company instead of its competitors.

7.3.3 mission

the mission is the reason why a company exists. it is the purpose of the company and the reason why it was created. the mission is the reason why a company exists. it is the purpose of the company and the reason why it was created. the mission is the reason why a company exists. it is the purpose of the company and the reason why it was created.

the orientation of the bic company is create something that is useful and accessible to everyone.product of high quality because they have a long life but with a low price. Their mission is create a brand with credibility and trust.

company: mc donald's
mission: is create a brand that is accesible to everyone. they want to create a brand that is recognized worldwide and that is associated with good food and good service.
real mission: they want create a safe and clean enviroment to collect beatiful moments with family and friends and eat good food.

7.4 boston consulting group matrix



usually the boston consulting group matrix is used to analyze the business portfolio of a company. it is a tool that helps companies to identify which products or services are performing well and which are not. it is a tool that helps companies to identify which products or services are performing well and which are not. it is a tool that helps companies to identify which products or services are performing well and which are not.

it is a tool that helps companies to identify which products or services are performing well and which are not. the star means that the product or service is performing well and has a high market share. the question mark means that the product or service is not performing well and has a low market share. the cash cow means that the product or service is performing well and has a high market share. the dog means that the product or service is not performing well and has a low market share.

7.5 ansoff matrix



the marketing is the process of creating, communicating, delivering and exchanging offerings that have value for customers. it is splitted in stategic marketing and tactical marketing. tactical marketing is 4P: product, price, place, promotion.
we can sell tangible product or pure service or a mix of both.
we control the satisfaction of our customers through the quality of our products and services, but it depend on the acspectation. the strategic marketing is the process of identifying and selecting target markets, developing a value proposition, and creating a marketing strategy.
every company has a business portfolio (set of products or services that a company offers to the market) and a mission (the reason why a company exists).

Chapter 8

marketing 05/10/2026

strategic planning is the process of developing and maintaining a profitable strategic fit between the organization's goals and capabilities and its changing marketing opportunities. it involves defining the overall mission, translating it into detailed supporting goals and objectives, and deciding what portfolio of businesses and products is best for the company.

8.1 market and customer value

the market is the set of all actual and potential buyers of a product or a service.**Customer** value is the difference between the benefits and the costs perceived by the customer.In marketing strategy, the company must conduct research to understand what potential consumers want, decide which target group of people to serve, and determine the product, service, or experience proposition.

8.2 mission statement

A mission statement is a statement of the organization's purpose, defining what it wants to accomplish in the larger environment. it acts as an "invisible hand" that guides and energizes people inside the organization. A mission statement must be market-oriented and defined in terms of satisfying customer needs, because products and technologies change over time, but market needs remain. the mission is translated into specific goals and objectives across different levels of the company.

8.2.1 examples of mission

- bic: create useful and accessible products for everyone, offering high quality with long life at a low price, building brand credibility and trust;
- mc donald's: the official mission is to create a brand accessible worldwide associated with good food and service, while the real mission is to create a safe and clean environment to collect beautiful moments with family and friends;
- la salle (url): mission to educate professionals with values to develop a fairer and more sustainable society, with a vision of being an international university campus of reference built on values of faith, fraternity, and spirit of service.

8.3 corporate planning and bcg matrix limitations

At the corporate level, strategic planning includes defining the mission, setting goals and objectives, managing the business portfolio, and choosing growth or downsizing strategies. Deciding the target market is the owner's decision, taking into account internal factors (strengths and weaknesses) and external environment factors (opportunities and threats). The boston consulting group (bcg) matrix is used to analyze the business portfolio, but it presents specific limitations:

- it oversimplifies market dynamics;
- it assumes that a high market share automatically equals success or high performance in the matrix.

8.4 segmentation

segmentation is the process of dividing a market into distinct groups. a market segment is a group of consumers who are expected to respond in a similar way to marketing efforts. common segmentation criteria include:

- age;
- gender;
- buying power;
- religion.

8.4.1 segmentation examples

- footwear company: 1st criteria separates performance-oriented from nonathletic-oriented products; 2nd criteria (within performance-oriented) targets tennis players, soccer players, or basketball players;
- honda electric scooter: targeted at people without cars who need cheap and sustainable transportation in urban environments (such as in china), regardless of gender.

8.5 targeting

first segmentation is executed, then targeting is applied. targeting is the process of evaluating market segments and deciding which ones to serve. target strategies include:

- undifferentiated (mass) marketing: targeting everyone in the market;
- differentiated (segmented) marketing: targeting multiple market segments with different offers;
- concentrated (niche) marketing: targeting a large share of one or a few smaller submarkets;
- micromarketing: tailoring products and programs to small groups, local areas, or even specific individuals.

8.6 positioning

positioning consists of arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers. The steps for positioning are:

1. identifying competitors;
2. identifying the main attributes in the consumer's perception;
3. identifying the specific positioning of different competitors and brands;
4. analyzing the positioning of a reference brand in that market if one exists.

8.6.1 perceptual map example

a perceptual map plots brands along key perceptual axes, such as price level (premium vs base) and performance (high speed):

- premium / high level: tesla model 3 performance, tesla model 3 long range, bmw, apple;
- base / entry level: tesla model 3 base, polestar 2, hyundai 6.

8.7 7/10/2026

Chapter 9

14/10/2026

9.1 break-even point

the expenses can be splitted in fixed expenses and variable expenses. the fixed expenses are the expenses that do not change with the level of production or sales, such as rent, salaries, and insurance. the variable expenses are the expenses that change with the level of production or sales, such as raw materials, direct labor, and sales commissions. the break-even point is the relationship between expenses and revenues. it is the point at which total revenues equal total expenses, resulting in neither profit nor loss. the break-even point can be calculated using the formula:

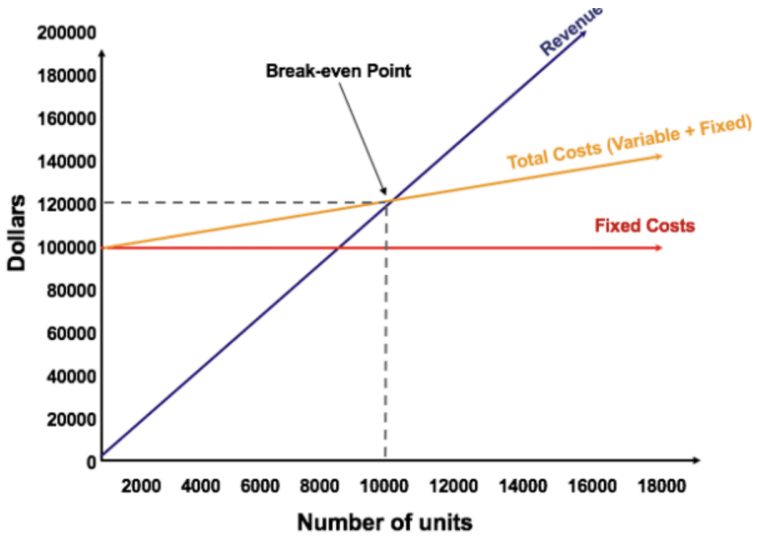
$$\text{Break-even point (units)} = \frac{\text{Fixed expenses}}{\text{Selling price per unit} - \text{Variable expenses per unit}}.$$

for example, if a company has fixed expenses of 10,000, a selling price of 50 per unit, and variable expenses of 30 per unit, the break-even point would be:

$$\text{Break-even point (units)} = \frac{10,000}{50 - 30} = \frac{10,000}{20} = 500 \text{ units}.$$

break-even point in term of revenue can be calculated using the formula:

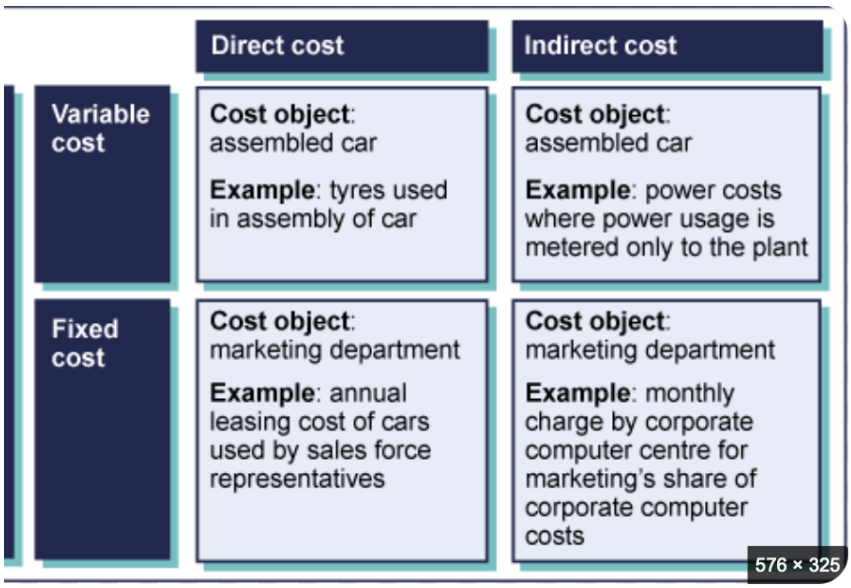
$$\text{Break-even point (revenue)} = \frac{\text{Fixed expenses}}{\text{Contribution margin ratio}}.$$



break-even analysis is a useful tool for decision-making, as it helps businesses determine the level of sales needed to cover costs and achieve profitability. It can also be used to evaluate the impact of changes in fixed or variable expenses, selling price, or sales volume on profitability.

9.1.1 direct and indirect cost

for example, if a company produces a product that requires raw materials, the cost of those raw materials would be considered a direct cost. On the other hand, the cost for cleaning the factory would be considered an indirect cost, as it is not directly tied to the production of the product but is necessary for the overall operation of the business. the CEO of the company is considered a direct cost because he is directly involved in the production of the product and his salary is directly tied to the success of the company.



9.2 SWOT, PEST, PESTEL

they are tools used to analyze the internal and external environment of a business. SWOT analysis focuses on the internal strengths and weaknesses of a company, as well as the external opportunities and threats it faces. PEST analysis examines the political, economic, social, and technological factors that can impact a business. PESTEL analysis expands on PEST by including environmental and legal factors. These tools help businesses identify potential risks and opportunities, and develop strategies to achieve their goals.

9.2.1 swot

- strengths: internal attributes that are helpful to achieving the objective.
- weaknesses: internal attributes that are harmful to achieving the objective.
- opportunities: external conditions that are helpful to achieving the objective.
- threats: external conditions that are harmful to achieving the objective.

for example, a company may have a strong brand reputation (strength), but may struggle with high employee turnover (weakness). They may have an opportunity to expand into

a new market (opportunity), but may face competition from established players (threat).

9.2.2 pest

pest analysis is a framework used to analyze the external macro-environmental factors that can impact a business. It focuses on four key areas:

- political: government policies, regulations, and stability that can affect the business environment.
- economic: economic conditions, such as inflation, interest rates, and economic growth, that can impact consumer behavior and business operations.
- social: societal trends, demographics, and cultural factors that can influence consumer preferences and behavior.
- technological: technological advancements, innovations, and disruptions that can affect the industry and business operations.

9.2.3 pestel

pestel analysis is an extension of pest analysis that includes two additional factors:

- environmental: environmental factors, such as climate change, sustainability, and ecological regulations, that can impact business operations and reputation.
- legal: legal factors, such as laws, regulations, and compliance requirements, that can affect business operations and decision-making.

9.3 CAME, Red Ocean and Blue Ocean, Porter's Five Forces

CAME analysis is a strategic tool used to evaluate a company's current position and identify areas for improvement. It stands for:

- Correct: identify and correct weaknesses or areas of improvement.
- Adapt: adapt to changes in the market or industry to stay competitive.
- Maintain: maintain strengths and competitive advantages.
- Explore: explore new opportunities for growth and innovation.

Red Ocean strategy refers to competing in existing markets and industries, where companies try to outperform their rivals to gain a larger share of the market. It is characterized by intense competition, price wars, and limited growth opportunities. In contrast, Blue Ocean strategy focuses on creating new markets and industries, where companies can differentiate themselves and create unique value propositions. It involves innovation, creating new demand, and making the competition irrelevant. Blue Ocean strategy aims to create uncontested market space and unlock new growth opportunities.
porter's Five Forces is a framework used to analyze the competitive forces within an industry. It helps businesses understand the dynamics of their industry and develop strategies to gain a competitive advantage. The five forces are:

- Threat of new entrants: the ease or difficulty for new competitors to enter the market
- Bargaining power of suppliers: the ability of suppliers to influence prices and terms

- Bargaining power of buyers: the ability of customers to influence prices and demand better
- Threat of substitute products or services: the availability of alternative products or services that can replace the company's offerings
- Rivalry among existing competitors: the intensity of competition among current players in the market

the threat of a new entrants depend on the market, if is a blue or red ocean. But we have to consider also the rule that the governament impose to the new entrant. An other important factor is the cost to create this business and how the customer are loyal to the existing brand. (I said the importance of brand loyalty and example of Apple)
bargaining power of suppliers is the ability of suppliers to influence prices and terms. If there are few suppliers, they have more power. If one of this have a special and unique product it have more power
The bargaining power of buyers is the ability of customers to influence prices and demand better. If there are few buyers, they have more power.Is important also the variability of the product, if the product is unique and not easily substitutable, the buyer has less power. If the product is standardized and easily substitutable, the buyer has more power. The threat of substitute products or services is the availability of alternative products or services that can replace the company's offerings. it depend on the quality and the price of the substitute product. If the substitute product is of high quality and low price, the threat is high. If the substitute product is of low quality and high price, the threat is low. Rivalry among existing competitors is the intensity of competition among current players in the market. If there are many competitors, rivalry is high.it depend on the growth of the market, on the market status: stagnant or declining. Is also important the differentiation of the product, if the product is unique and not easily substitutable, rivalry is low.

Chapter 10

competition Law

competition law, also known as antitrust law, is a set of regulations that promote fair competition and prevent anti-competitive practices in the marketplace. The main objectives of competition law are to protect consumers, encourage innovation, and ensure a level playing field for businesses. Key aspects of competition law include: 1. Prohibiting anti-competitive agreements: Competition law prohibits agreements between businesses that restrict competition, such as price-fixing, market sharing, and bid-rigging. These agreements can lead to higher prices, reduced choices, and lower quality for consumers. 2. Preventing abuse of dominant market position: Competition law prevents companies with significant market power from abusing their position to eliminate competition or exploit consumers. This includes practices such as predatory pricing, exclusive dealing, and tying arrangements. 3. Regulating mergers and acquisitions: Competition law reviews mergers and acquisitions to ensure they do not substantially lessen competition in the market. Authorities may block or impose conditions on mergers that could lead to monopolistic behavior or reduced consumer welfare. 4. Promoting consumer welfare: Competition law aims to protect consumers by ensuring they have access to a variety of products and services at competitive prices. It encourages businesses to innovate, improve quality, and offer better value to consumers. 5. Enforcement and penalties: Competition authorities investigate potential violations of competition law and can impose fines, sanctions, or other remedies on businesses found to be engaging in anti-competitive practices. This helps maintain a fair and competitive marketplace.

it is againist anticompetitive practices and promotes fair competition in the market. (collusion, abuse of dominant position, mergers and acquisitions, consumer welfare, enforcement and penalties) natural monopolies are not illegal, but they are regulated to prevent abuse of market power. The goal of competition law is to create a level playing field for businesses and protect consumers from anti-competitive practices. It encourages innovation, efficiency, and consumer choice in the marketplace. example of gratia:

- dumping: selling a product at a price lower than its cost to drive competitors out of the market.
- price fixing: an agreement between competitors to set prices at a certain level, rather than allowing market forces to determine prices.
- refusal to deal: when a dominant company refuses to supply a product or service to a competitor, limiting their ability to compete in the market.
- limiting pricing: when a dominant company sets prices at a level that is too low for

competitors to match, making it difficult for them to compete.

10.1 how is the relevant market determined

the relevant market is determined by analyzing the product and geographic dimensions. The product dimension considers the substitutability of products or services, while the geographic dimension considers the area in which competition takes place.

10.1.1 product dimension

the product dimension is determined by analyzing the substitutability of products or services. This involves assessing the characteristics, prices, and intended use of the products or services in question. If two products are considered substitutes, they are likely to be part of the same relevant market. Factors such as consumer preferences, brand loyalty, and the availability of alternatives are also taken into account when defining the product dimension of the relevant market.

10.1.2 geographic dimension

the geographic dimension is determined by analyzing the area in which competition takes place. This involves assessing the geographic reach of the products or services, the location of competitors, and the extent to which consumers can access alternative products or services. Factors such as transportation costs, trade barriers, and regional market conditions are also considered when defining the geographic dimension of the relevant market. The goal is to identify the area where competition is effectively taking place and where consumers have access to alternative options.

the difference between directive and regulation is that a directive is a legislative act that sets out a goal that all EU countries must achieve, but it is up to the individual countries to decide how to implement it. A regulation, on the other hand, is a binding legislative act that must be applied in its entirety across the EU. In other words, a directive provides flexibility in implementation, while a regulation has immediate legal force and does not require national legislation to take effect.

misleading advertising is a form of advertising that is deceptive or false, and can mislead consumers about the nature, characteristics, or benefits of a product or service. It can include false claims, exaggerated statements, or omissions of important information that could influence a consumer's purchasing decision. Misleading advertising is prohibited under competition law and consumer protection regulations, as it can harm consumers and create an unfair advantage for businesses that engage in such practices.
denigration is a form of advertising that involves making false or misleading statements about a competitor's product or service in order to damage their reputation and gain a competitive advantage. It can include spreading false information, making unsubstantiated claims, or using negative comparisons to create a negative perception of the competitor's offerings. Denigration is prohibited under competition law and advertising regulations, as it can harm consumers by providing them with inaccurate information and can create an unfair competitive environment.
confusion or exploitation of a competitor's reputation is a form of advertising that involves creating confusion among consumers or taking advantage of a competitor's established

reputation to promote one's own products or services. This can include using similar branding, logos, or packaging that may mislead consumers into believing that the products or services are associated with the competitor. It can also involve capitalizing on the goodwill and positive reputation of a competitor to gain an unfair advantage in the market. Such practices are prohibited under competition law and advertising regulations, as they can mislead consumers and create an unfair competitive landscape.
type of collusive acts

ex tunc efects: da sempre in opposite with ex nunc effects: from now on. the ex tunc effects are retroactive, meaning that they apply to past actions or events, while ex nunc effects are prospective, meaning that they apply to future actions or events. In the context of competition law, ex tunc effects may be used to address anti competitive practices that have already occurred, while ex nunc effects may be used to prevent future anti competitive behavior.

example: The Truck Cartel (Heavy-duty transport – 2016) In this case, the European Commission imposed one of the largest aggregate fines in antitrust history, totaling over €3.8 billion. Major truck manufacturers, including MAN, Volvo/Renault, Daimler, Iveco, DAF, and Scania. For 14 years (from 1997 to 2011), executives from these companies coordinated on truck price lists across Europe. Furthermore, they colluded to delay the introduction of new anti-emission technologies (Euro 3, Euro 4, Euro 5, and Euro 6) and agreed to pass the full cost of developing these eco-friendly technologies on to their customers.
Intel (2009) – Exclusivity discounts In 2009, a landmark case that redefined the rules regarding commercial discounts in the technology sector. Intel offered massive discounts and secret financial incentives to major computer manufacturers (such as Dell, HP, and Lenovo) on the condition that they purchase all—or nearly all—of their x86 microprocessors from Intel, thereby deliberately stifling the growth of its rival, AMD. 1.06 billion euros (later annulled and recalculated at approximately 376 million euros in 2023, following an extremely long legal battle).

Chapter 11

Acquisitions and Mergers

There are several distinct types of corporate acquisitions and mergers, depending on the strategy and the level of cooperation between the involved entities. The most common types are detailed below:

- **Friendly takeover:** This occurs when the target company's management and board of directors agree to the acquisition terms. The leadership of both firms works cooperatively to negotiate the price, perform due diligence, and support the deal through to completion.
- **Hostile takeover:** This happens when the acquiring company attempts to gain control of the target company against the explicit wishes of its management and board. The acquirer typically bypasses the board by making a tender offer directly to the shareholders or launching a proxy fight to replace the current management.
- **Reverse takeover bid (RTO):** This takes place when a private company acquires a public company (often a shell company with fewer assets but an active stock listing). This strategy allows the private company to bypass the lengthy, expensive, and complex regulatory process of going public through a traditional Initial Public Offering (IPO).
- **Backflip takeover bid:** A rare type of transaction where the acquiring company becomes a subsidiary of the purchased company after the deal is completed. Although the acquirer initiates the deal and retains operational control, the target company survives as the legal entity because it has a stronger brand identity or better corporate structure.

11.1 The Due Diligence Process

Before finalizing any transaction, the acquiring company must undergo a rigorous **due diligence process**. This is a comprehensive investigation and analysis of the target company's financial, legal, and operational status. The primary goals are to verify all material facts, identify potential hidden liabilities, and ensure that the final purchase price reflects the true value of the business.

11.2 Corporate Synergies

The strategic justification for most mergers and acquisitions is the creation of **corporate synergies**. Synergy occurs when the financial value and performance of two combined companies is greater than the sum of their individual parts (1+1 = 3). These are generally divided into two main categories:

- **Cost Synergies:** Savings achieved by eliminating redundant operations, combining corporate departments (such as HR or IT), and gaining higher purchasing power with suppliers.
- **Revenue Synergies:** Increased sales generated by cross-selling products to each other's customer bases, expanding geographic reach, or combining research and development (R&D) capabilities.

11.3 Post-Merger Integration and Cultural Clash

Even if a deal makes financial sense, many mergers fail during the integration phase due to a **cultural clash**. A cultural clash arises when two corporations with fundamentally different corporate values, management styles, communication habits, and employee behaviors try to combine. This friction often leads to lower employee morale, drop in productivity, and the loss of key talent.

11.4 Takeover Defense Tactics

When facing an unwanted or hostile takeover attempt, target companies utilize various **takeover defense tactics** to protect themselves and remain independent. The most common strategies are structured in the table below:

Table 11.1: Common Corporate Defense Mechanisms

Defense Tactic	Description
Poison Pill	Officially known as a shareholder rights plan. It allows existing shareholders (except the hostile bidder) to buy additional shares at a massive discount, heavily diluting the acquirer's stake and making the takeover prohibitively expensive.
Golden Parachute	Lucrative compensation packages and benefits guaranteed to top executives if they are terminated following a ownership change, increasing the total cost of acquisition for the bidder.
White Knight	A friendly strategic investor or company that steps in to acquire the target company on better terms, rescuing it from the hostile bidder.
Greenmail	A practice where the target company buys back its own shares from the hostile bidder at a substantial premium to make them walk away.

the acquisition can be traditional or leveraged. In a traditional acquisition, the acquiring company uses its own cash reserves or issues new equity to finance the purchase. In a leveraged acquisition, the acquirer borrows a significant portion of the purchase price, often using the target company's assets as collateral for the loan. This can increase financial risk but also allows for larger acquisitions that might not be possible with cash alone.

- LBO (Leveraged Buyout): A financial transaction where a company is purchased primarily with borrowed funds, using the target company's assets as collateral. The goal is to improve operational efficiency and profitability to repay the debt and generate returns for investors.
- MBO (Management Buyout): A transaction where the existing management team of a company acquires a significant portion or all of the business, often with the help of external financing.
- MBI (Management Buy-In): A situation where an external management team acquires a company and takes over its operations, often bringing new expertise and strategies to improve performance.

- **Horizontal Merger:** A merger between two companies operating in the same industry and at the same stage of production. The goal is to achieve economies of scale, increase market share, and reduce competition.(renout+volkswagen)
- **Vertical Merger:** A merger between two companies operating at different stages of the supply chain. The goal is to improve efficiency, reduce costs, and gain better control over the production and distribution process.(amzon+wholefood)
- **reverse merger:** A merger where a smaller company acquires a larger company, often to gain access to the larger company's resources, market presence, or brand recognition.
- **Conglomerate Merger:** A merger between two companies that operate in unrelated industries. The goal is to diversify the business portfolio, reduce risk, and explore new growth opportunities.

advantages of horizontal integration include increased market share, economies of scale, and reduced competition. disadvantages include potential antitrust issues, cultural clashes, and integration challenges. advantages of vertical integration include improved supply chain control, cost savings, and increased market power. disadvantages include increased complexity, potential regulatory scrutiny, and reduced flexibility. advantages of conglomerate mergers include diversification, risk reduction, and access to new markets. disadvantages include lack of focus, management challenges, and potential dilution of brand identity.

11.5 Horizontal Integration

Horizontal integration happens when a company merges with a **direct competitor** in the same market.

Strategy	**Main Advantage**	**Real Example**
Horizontal	Increased market share & scale	Disney bought 21st Century Fox (2019)

- **Why it works:** It reduces competition and lowers costs because the two companies share the same distribution channels.

11.6 Vertical Integration

Vertical integration happens when a company buys a business in its **supply chain** (a supplier or a distributor).

Strategy	Main Advantage	Real Example
Vertical	Control of the supply chain	Netflix producing its own shows

- **Why it works:** The company does not depend on third parties. This saves money on licenses and materials.

11.7 Conglomerate Merger

A conglomerate merger happens when two companies in **completely different industries** join together.

Strategy	Main Advantage	Real Example
Conglomerate	Diversification & less risk	Amazon bought Whole Foods (2017)

- **Why it works:** It helps the company enter new markets. If one industry has financial problems, the other sectors can protect the business.

the company make more decision:

- carrying out all activities whitin the company:this means that the company is vertically integrated and controls all aspects of its supply chain, from production to distribution. This can lead to greater efficiency, cost savings, and quality control.
- outsourcing : This means that the company contracts with external suppliers or service providers to perform certain business functions or activities. Outsourcing can help the company reduce costs, access specialized expertise, and focus on its core competencies.;
- offshoring : This involves relocating certain business processes or operations to another country, often to take advantage of lower labor costs, favorable tax policies, or other economic benefits. Offshoring can help companies reduce expenses and increase competitiveness in the global market;
- nearshoring: This is a strategy where a company moves its business operations to a nearby country, often to reduce costs while maintaining proximity to its home market. Nearshoring can help companies save on labor and production costs while benefiting from similar time zones, cultural similarities, and easier logistics compared to offshoring to distant countries.;
- Onshoring: This happens when a company moves its business activities back to its home country. For example, a company that previously manufactured products abroad decides to bring production back home. Companies choose onshoring to improve quality control, reduce shipping times, or save money when foreign labor costs increase.

- **Onshoring Case Study - Intel:** In recent years, the American technology giant Intel decided to build new microchip factories in the United States (Ohio and Arizona) instead of relying only on Asian factories.
  - **Why they did it:** During the supply chain crisis, shipping chips from Asia became slow and difficult. By bringing production back to its home country, Intel improved quality control, reduced shipping times, and received financial support from the US government.

11.8 Outsourcing vs Offshoring

11.8.1 Outsourcing

Outsourcing means hiring an **external company** to do specific tasks.

- **Pros:** Lower costs, access to experts, and more focus on core business.
- **Cons:** Less control over quality and high dependency on third parties.
- **Example:** A company hiring an external agency to manage its IT servers.

11.8.2 Offshoring

Offshoring means moving business activities to **another country**.

- **Pros:** Very low labor costs and the ability to operate 24/7 due to time zones.
- **Cons:** Communication problems, longer shipping times, and political risks.
- **Example:** An American bank moving its customer call center to India.

Chapter 12

Law and Data Protection

12.1 Law and the European Union

12.1.1 What is law?

Law is a system of rules that public authorities make and enforce to organise society and regulate behaviour.

For businesses, law defines **rights, responsibilities and limits**. It affects contracts, customers, workers, competition, data and innovation.

12.1.2 EU law and national law

EU law is the system of legal rules of the European Union. It includes treaties and legal acts adopted by EU institutions.

- **Treaties** establish the EU's objectives, institutions and powers. They are agreed and ratified by Member States.
- **Principle of conferral:** the EU can act only in areas where the treaties give it powers.
- **Primacy of EU law:** when applicable EU law conflicts with national law, EU law takes priority.
- Member States keep national laws, but these laws must respect their EU obligations. Their international agreements must also respect applicable EU obligations.
- The **Court of Justice of the European Union (CJEU)** interprets EU law and helps ensure consistent application. National courts also apply EU law.
- The **European Commission** can start infringement proceedings when a Member State does not meet its EU obligations.

12.1.3 Main types of EU legal acts

Type	Meaning	National action
Regulation	Binding in full and directly applicable in Member States.	Does not need transposition, although national supporting rules may be needed.
Directive	Sets a result that Member States must achieve.	Countries normally transpose it into national law by a deadline.
Decision	Binding in full; if it names specific recipients, it binds those recipients.	Depends on the decision and its recipients.

Memory link: regulation = directly applicable rule; directive = required result plus national implementation.

12.1.4 Why EU law matters for business

EU law supports the **single market** and the free movement of **goods, services, capital and people**. It also regulates competition, consumer protection, environmental protection and social matters.

Example: an online shop selling in several EU countries benefits from common rules, but must still check relevant national requirements.

12.2 Data: Main Definitions

12.2.1 Personal data and processing

Personal data is information about an identified or identifiable living person.

Examples include names, home addresses, ID numbers, email addresses, bank details and location data.

Processing means an activity involving personal data: collecting, storing, using, sharing, changing or deleting it.

Example: keeping a customer delivery address in a database is processing, even before the company uses it.

12.2.2 Special categories of personal data

Some personal data needs additional protection under **Article 9 GDPR**. Examples include health, genetic data, political opinions, religious beliefs and biometric data used to identify a person uniquely.

Important distinctions:

- **Bank details** are personal data, but are not automatically an Article 9 special category.
- A normal photograph is not automatically special-category biometric data. Its technical use for unique identification matters.

- Processing special-category data normally requires both an **Article 6 legal basis** and an **Article 9 exception**.

12.2.3 Non-personal, anonymous and pseudonymous data

Non-personal data does not relate to an identified or identifiable person.

- **Anonymous data:** people cannot reasonably be identified from it. The GDPR does not apply to genuinely anonymous data.
- **Pseudonymous data:** names are replaced by codes, but people can still be identified with extra information. It remains personal data.
- Removing names or grouping records does **not automatically** make data anonymous.

Example: a customer record labelled "Customer 481" is still personal data if the company can connect that code to a person.

12.3 GDPR and Spanish Data Protection Law

12.3.1 GDPR

The **General Data Protection Regulation (GDPR)** is **Regulation (EU) 2016/679**.

Its main aims are to protect people's personal data, strengthen their rights and create common data protection rules.

It applies in the **EU and European Economic Area (EEA)**. In certain cases, it also applies to organisations outside the EEA that offer goods or services to people there or monitor their behaviour.

Transfers outside the EEA must meet the relevant GDPR transfer rules. They are not automatically prohibited.

12.3.2 LOPDGDD

LOPDGDD means **Ley Orgánica de Protección de Datos Personales y garantía de los derechos digitales**: Spanish Organic Law **3/2018**.

It **complements the GDPR in Spain** and also protects certain digital rights.

the LOPDGDD is a Spanish law, not an EU regulation about telecommunications. Rules on cookies and electronic communications also involve other legislation, including Spain's **LSSI, Law 34/2002**, and the EU ePrivacy framework.

12.4 GDPR Principles and Legal Bases

12.4.1 Seven principles to remember

Principle	Simple meaning
Lawfulness, fairness and transparency	Use data legally and fairly, and explain its use clearly.

Principle	Simple meaning
Purpose limitation	Collect data for specific purposes; do not use it for incompatible purposes.
Data minimisation	Collect only what is necessary.
Accuracy	Keep data correct and up to date.
Storage limitation	Keep identifiable data only as long as necessary.
Integrity and confidentiality	Protect data against unauthorised use, loss and damage.
Accountability	Be able to show that the organisation follows the rules.

Example: a shop needs a delivery address to send an order. Asking for the customer's religion would normally be unnecessary.

12.4.2 Legal bases for processing

A business must identify an appropriate **legal basis** before processing personal data. The six bases under Article 6 are:

1. **Consent:** the person agrees to a specific use.
2. **Contract:** processing is necessary to perform a contract or requested pre-contract steps.
3. **Legal obligation:** a law requires the processing.
4. **Vital interests:** processing is necessary to protect someone's life or another vital interest.
5. **Public interest or official authority:** processing is necessary for a legally supported public task.
6. **Legitimate interests:** a necessary, lawful interest, balanced against people's rights.

Consent is not always required. For example, using an address to deliver an order can be necessary to perform a contract.

12.4.3 Valid consent

Consent must be **freely given, specific, informed and unambiguous**. It requires a clear positive action; silence or a pre-ticked box is not enough.

People must be able to **withdraw consent easily**. Withdrawal does not make earlier lawful processing illegal.

use **unambiguous consent**, not "equivocal consent".

12.5 Rights of Individuals

A **data subject** is the person whose personal data is processed.

Right	Meaning and example
Information	Know who uses the data, why and under what conditions.
Access	Ask whether data is processed and receive access to it.
Rectification	Correct inaccurate data or complete missing information, such as an incorrect address.
Erasure / right to be forgotten	Ask for deletion when the legal conditions apply.
Restriction of processing	Limit use while the organisation may still store the data.
Data portability	Under certain conditions, receive provided data in a reusable digital format or transfer it to another controller.
Objection	Oppose certain processing, including processing for direct marketing.
Protection from certain automated decisions	Safeguards against decisions based only on automated processing that have legal or similarly significant effects.

People can also **withdraw consent** where it is the legal basis and **complain to a supervisory authority**.

These rights have conditions and exceptions. Organisations normally respond to rights requests within **one month**, with limited extensions where allowed.

12.5.1 Three rights that are easy to confuse

- **Rectification = correct the data.** Example: change an incorrect birth date.
- **Erasure = delete the data**, when legally required. A company may still need to keep invoices for tax purposes.
- **Restriction = limit its use.** Example: pause normal use while checking disputed information.

Restriction may apply when accuracy is disputed, processing is unlawful but the person prefers restriction to deletion, data is needed for legal claims, or an objection is being checked. Some limited processing remains possible under legal exceptions.

12.6 Company Responsibilities

12.6.1 Controller and processor

- **Data controller:** decides why and how personal data is processed.
- **Data processor:** processes personal data on the controller's behalf and instructions.

Example: a retailer decides how to use its customer database. An external hosting provider may act as its processor.

Outsourcing does not remove the controller's responsibilities.

12.6.2 Main obligations

Companies must:

- Explain processing clearly: purposes, legal basis, recipients, retention periods, international transfers and rights.
- Respect **confidentiality**, including after an employment or service relationship ends where the duty continues.
- Apply suitable **technical and organisational security measures**.
- Assess risks and review controls when activities or threats change.
- Train employees and prepare incident response procedures.
- Help people exercise their rights.
- Use compliant **processor contracts** and monitor suppliers appropriately.
- Apply appropriate safeguards for international transfers.

A processor contract should cover instructions, confidentiality, security, assistance with rights and breaches, other processors, and return or deletion of data.

12.6.3 Risk analysis and DPIA

Risk analysis identifies possible threats, their likelihood and their impact. It helps the company choose suitable controls.

A **Data Protection Impact Assessment (DPIA)** is a structured assessment required **before processing likely to create a high risk to people's rights and freedoms**.

A DPIA examines the planned processing, its necessity, its effects on people and measures to reduce the risks.

Link: all processing needs suitable risk management; only certain high-risk activities require a DPIA.

12.6.4 Data Protection Officer

A **Data Protection Officer (DPO)** advises on data protection, monitors compliance and acts as a contact for individuals and authorities.

A DPO is required in specified situations, including:

- Public authorities and bodies, with an exception for courts acting in their judicial role.
- Core activities involving **large-scale, regular and systematic monitoring**.
- Core activities involving large-scale processing of **special-category data or criminal conviction and offence data**.

Spanish law adds requirements for certain organisations. **Not every company needs a DPO**, and appointing one does not transfer management's responsibility to that person.

12.6.5 Personal data breaches

A **personal data breach** is a security incident causing accidental or unlawful loss, destruction, alteration, disclosure of, or access to personal data.

The controller must:

1. **Document the breach** and its effects.
2. Notify the authority **without undue delay and, where feasible, within 72 hours of becoming aware**, unless it is unlikely to create a risk to people.
3. Inform affected individuals without undue delay where there is a **high risk**, unless a legal exception applies.

A processor must inform the controller **without undue delay**. The 72-hour rule is not a rule requiring notification to every customer after every security incident.

12.6.6 Enforcement and penalties

In Spain, the **AEPD — Agencia Española de Protección de Datos** — is the national data protection authority. Other authorities also have specific legal responsibilities.

Authorities can issue warnings, reprimands, corrective orders, restrictions or bans on processing, and fines.

The GDPR has different fine levels. Depending on the infringement, the maximum can be **€10 million or 2%**, or **€20 million or 4%**, of the previous financial year's worldwide annual turnover, **whichever is higher**. These are maximum limits, not automatic fines.

12.7 Business Cases

12.7.1 Holaluz: Supplier Access and Security

Case discussed in class: attackers used an external sales provider's credentials to access Holaluz customer data in **October 2022**. A shared account used by around **120 people** and excessive permissions were central security weaknesses.

The class case describes exposure of names, ID numbers, addresses and bank account details, affecting **more than 31,000 customers**. It reports a **€675,000 fine** and a **three-month deadline** for security improvements, including ending shared access and introducing MFA.

The reported total fine concerned **Articles 5(1)(f) and 32 GDPR**, covering confidentiality and appropriate security measures. **Study note:** the exact customer count and specific wording of the MFA order in this class case still need confirmation.

Management lessons:

- Give each user an individual account.
- Apply **least privilege**: access only to what the job requires.
- Use **multi-factor authentication (MFA)** and monitor access.
- Check supplier security in practice, rather than relying only on contracts.

12.7.2 LaLiga: Biometric Access and the DPIA

LaLiga promoted biometric identification for access to **supporters' sections** in football stadiums.

In procedure **PS/00484/2023**, the AEPD imposed a **€1 million fine for infringement of Article 35 GDPR**, concerning the required DPIA. It also ordered suspension of the relevant biometric processing until a valid DPIA had been completed successfully.

The specific €1 million sanction concerned **Article 35**, rather than Articles 6 and 9 or transparency failures. Lawfulness and special-category conditions remain important when analysing biometric processing.

Management lesson: a security objective does not remove data protection duties. Check necessity, less intrusive alternatives, the legal basis and high-risk assessment **before implementation**.

Chapter 13

Intellectual Property and Cybersecurity

13.1 Protecting Business Assets

Businesses should identify and protect:

- New products, services and technologies.
- Confidential know-how held by key employees.
- Marketing strategies and business plans.
- Accounting records and financial information.
- Websites, domain names and social media accounts.
- Growth and expansion plans.

These assets need different tools: **IP rights, contracts, confidentiality rules, access controls and cybersecurity**. Not all business information qualifies for an IP right.

Know-how means practical knowledge and skills. A business can protect confidential information, but it does not own employees or all their general experience.

13.2 Intellectual Property and Protection Methods

13.2.1 Definition and business purpose

Intellectual property (IP) concerns creations such as inventions, original works, designs and distinctive business signs.

IP rights protect qualifying creations and allow owners to control certain uses, earn income and defend a competitive advantage.

Protection can support innovation, investment, licensing and market differentiation. However, **not every idea or creation is automatically protected**: each right has its own requirements.

13.2.2 Registration, automatic protection and contracts

Method	What it does	Examples
Registration or formal grant	Creates a specific right after the required procedure.	Patents, utility models, registered designs and registered trademarks.
Automatic protection	Protection arises when legal conditions are met.	Copyright in an original work; some unregistered design protection.
Contracts and confidentiality	Set duties between parties and help protect confidential information.	NDAs, licences and IP ownership clauses.

"registration or contract" is a useful starting point, but it is incomplete. **Copyright normally arises automatically**, and trade secret protection also requires practical secrecy measures.

13.2.3 Trade secrets

A **trade secret** is information that:

1. Is **secret**, rather than generally known or easily available.
2. Has **commercial value because it is secret**.
3. Is protected through **reasonable steps to keep it secret**.

Examples include a confidential production method, supplier list or launch strategy.

An **NDA — non-disclosure agreement** — requires the receiving party to keep defined information confidential. Restricted access and employee training also help protect secrets.

Link: patents protect disclosed inventions for a limited period; trade secrets depend on continued secrecy.

13.3 Main Intellectual Property Rights

13.3.1 Patents

A **patent** gives its owner the right to prevent specified unauthorised uses of a protected invention in the territory covered.

The invention must meet three central requirements:

- **Novelty:** it is new compared with information already publicly available.
- **Inventive step:** it is not obvious to a person with relevant technical knowledge.
- **Industrial applicability:** it can be made or used in an industry.

It must also be a qualifying technical invention. A patent application must explain the invention sufficiently.

Duration: generally **20 years from filing**, subject to required fees and legal conditions. A patent can be sold or licensed. It does not automatically give its owner permission to use the invention if other rights or laws prevent this.

13.3.2 Patent exclusions and limits

Under the European patent framework, exclusions include scientific theories, mathematical methods, aesthetic creations, presentations of information and computer programs **as such**.

- A **software-based technical invention** may be patentable if it meets the relevant conditions; not all software is excluded.
- The human body and the simple discovery of its elements are not patentable. Certain isolated elements obtained through a technical process may qualify under specific conditions.
- An aesthetic feature may receive **design protection**, even when it is not a patentable invention.

13.3.3 Patent licences

A **licence** allows another party to use an IP right under agreed or legally established conditions.

- **Voluntary or contractual licence:** the owner agrees to permit use. Terms can cover payment, duration, territory and scope. It may be exclusive or non-exclusive.
- **Compulsory licence:** a competent authority permits certain uses without the owner's consent in legally defined circumstances. Conditions and remuneration depend on the applicable rules.

"compulsory licence" is the usual term, rather than "mandatory licence". It is an exceptional legal mechanism, not automatic permission to copy a patent.

13.3.4 Utility models

A **utility model** protects qualifying technical inventions, often practical improvements to products or devices. Its requirements and availability depend on the country.

In Spain, protection normally lasts **10 years from filing**. The inventive-step standard is lower than for patents, but the innovation must still meet legal requirements.

Example: an improved shoe fastening mechanism may qualify; a purely decorative change does not become a technical invention just because it is useful commercially.

13.3.5 Industrial designs

An **industrial design** protects a product's **appearance**, such as shape, lines, colours, patterns or decoration. It does not protect a technical function as such.

For a registered design, **novelty and individual character** are central requirements. Registered protection in Spain and the EU generally starts with **5 years**, renewable up to **25 years**.

Example: a distinctive bottle shape or the visible pattern of a running shoe.

13.3.6 Trademarks, brands and domain names

A **trademark** is a distinctive sign that identifies the commercial origin of goods or services. It may be a name, logo or another qualifying sign.

- It helps customers recognise a business and protects brand identity.
- Registration concerns specified goods or services and a defined territory.
- In Spain and the EU, registration generally lasts **10 years** and can be renewed repeatedly, subject to requirements including genuine use.

A **brand** is broader: it includes reputation, values and customer perceptions. A trademark legally protects qualifying signs used within that brand.

A **domain name** is a registered internet address. Registering one does **not automatically create a trademark right** or allow infringement of another company's trademark.

13.3.7 Copyright: Economic and Moral Rights

Copyright protects original expression, including books, photographs, music, films and software code. It does not protect an idea simply because someone thought of it.

Economic rights control commercial uses such as copying, distribution and adaptation. They may be licensed or transferred under applicable rules.

Moral rights protect the author's personal connection with the work, including recognition of authorship and the work's integrity.

- **Economic rights:** the general Spanish rule is the author's life plus **70 years after death**, with exceptions and transitional rules.
- **Moral rights:** In Spain, authorship and integrity rights can be exercised after death **without a time limit** by the persons authorised under the law.
- Original works normally receive copyright **without registration**.

13.4 Open Source, Copyleft and Public Domain

Concept	Meaning	Main point
Open source	Software distributed under a licence allowing use, study, modification and redistribution, with source code available under its terms.	It remains subject to licence conditions.
Copyleft	A licensing approach requiring covered adaptations to preserve specified freedoms, commonly when distributed.	Not every open-source licence is copyleft.

Concept	Meaning	Main point
Public domain	A work or invention is outside the relevant exclusive protection, for example after expiry.	Check other applicable rights and legal limits.

Open-source software can be used **commercially** and may be sold. "Open source" does not mean "no copyright". A copyleft licence uses copyright to require continued sharing under its conditions.

Examples: the **MIT licence** is a permissive open-source licence; the **GNU GPL** is a copyleft licence. Creative Commons has different licences, and not all have a ShareAlike condition.

Public-domain status for copyright does not remove every possible restriction: moral rights, trademarks, privacy or other rules may still matter.

13.5 Integrated Example: A Running Shoe Company

One product can involve several forms of protection.

Business asset	Possible protection
New technical cushioning system	**Patent**, if it meets patentability requirements.
Qualifying practical improvement to a fastening mechanism	**Utility model**, where available and legally suitable.
Distinctive visual shape, colour arrangement or pattern	**Industrial design**.
Shoe brand name and logo	**Trademark**.
Original campaign photographs and website code	**Copyright**.
Secret production method and confidential launch plan	**Trade secrets**, supported by NDAs and access controls.
Website address	**Domain-name registration**, with trademark checks.
Customer names, addresses and payment information	**GDPR compliance and cybersecurity**, rather than an IP right over customers.

Memory link: technical solution = patent; appearance = design; commercial sign = trademark; original expression = copyright; confidential valuable information = trade secret.

13.6 Cybersecurity and Its Link to Data Protection

Cybersecurity protects networks, systems and data against threats such as unauthorised access, malware, theft and disruption.

Three main objectives are:

- **Confidentiality:** only authorised people can access information.
- **Integrity:** information remains correct and is not changed without permission.
- **Availability:** authorised users can access systems and data when needed.

These are known as the **CIA triad**.

Practical measures include individual accounts, least privilege, MFA, encryption, updates, backups, access logs, training, regular checks and incident response plans.

Data protection asks whether personal data is used lawfully and fairly. **Cybersecurity** asks how systems and information are protected. They overlap, but cybersecurity also protects non-personal information and business operations.